

Imagine putting \$10,000 with him and turning it into \$520,000. That can save a retirement.

The point is investing with these people made you a pile of money.

You didn't even have to be around for the full ride.

But let's start with the basic thesis of the book.

The main idea is that these CEOs were all great capital allocators, or great investors. Capital allocation equals investment. And CEOs have five basic options, says Thorndike: invest in existing operations, acquire other businesses, pay dividends, pay down debt or buy back stock. (I suppose a sixth option is just sitting on the cash, but that only defers the decision of what to do with it.)

They also have three ways to raise money: issue stock, issue debt or tap the cash flow of the business.

"Think of these options collectively as a tool kit," Thorndike writes.

"Over the long term, returns for shareholders will be determined largely by the decisions the CEO makes in choosing which tools to use."

Note what this isn't about. It's not about a "great business." It's not about being in "growing markets." There is no special asset to own. The Outsiders made a fortune in both growing and shrinking markets. They did it in consumer products and media. They did it in financial services and manufacturing. Industry didn't matter.

"None had hot, easily repeatable retail concepts or intellectual property advantages versus their peers," Thorndike writes. "Yet they hugely outperformed them." They did it by using that tool kit to maximum effect.

In this, they shared some common thinking.

Each of the Outsiders shared a worldview that "gave them citizenship in a tiny intellectual village." Thorndike writes each understood that

- capital allocation is the CEO's most important job;
- value per share is what counts, not overall size or growth;
- cash flow, not earnings, determines value;
- decentralized organizations release entrepreneurial energies;
- independent thinking is essential to long-term success;
- sometimes the best opportunity is holding your own stock; and